

DAVID MODIKWE

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8 April 2026

TO

The Financial Sector Conduct Authority (FSCA)

Complaints Department

P.O. Box 35655, Menlo Park, 0102

Email: complaints@fsca.co.za

Tel: 0800 110 443 / 012 428 8000

**RE: FORMAL COMPLAINT — IMPACT EMPOWERMENT VENTURES (PTY) LTD
(SECTION 12J VCC)
SUSPECTED ENGINEERED LIQUIDATION AND INVESTOR PREJUDICE**

Complainant Details

Full Name	David Modikwe
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Respondent Details

Company Name	Impact Empowerment Ventures (Pty) Ltd ("IEV" / "Impact")
Trading As	Part of Impact Investment Group
FSP Number	49377
Registered Address	Flexi Offices (Block E), Nedbank Campus, 135 Rivonia Street, Sandton, 2196
Key Personnel	Dave Humphrey; Zethu Ndlangamandla; Harriet Ingman
Contact	zethu@impactinafrica.com / s12j@impactinafrica.com

Appointed Liquidator

Firm	Marumo Trustees
Email	info@marumotrustees.co.za / marumo@telkomsa.net

1. Background

1.1 I am an individual investor who invested a total of **R2,175,375.00 (Two Million One Hundred and Seventy-Five Thousand Three Hundred and Seventy-Five Rand)** over a two-year period (2020 and 2021) through **Impact Empowerment Ventures (Pty) Ltd ("IEV")**, a Venture Capital Company ("VCC") approved by the South African Revenue Service ("SARS") in terms of **Section 12J of the Income Tax Act, No. 58 of 1962**.

1.2 My investment was structured as follows:

INVESTOR NUMBER	SHARE CERTIFICATE	YEAR	AMOUNT
S12J IIM 2019/147	D4	2020	R690,000

S12J IEV 2020/191	D34	2020/2021	R740,300
S12J IEV 2022/158	D86	2021	R745,075
TOTAL			R2,175,375.00

1.3 My funds were invested by IEV into **The Joseph Company / Muma Investments** for the purposes of **Class D Student Accommodation**, as a qualifying investment under Section 12J.

1.4 The qualifying shares in The Joseph Company were issued **to Impact Empowerment Ventures** (the VCC) in its name. I was issued only an **Investor Certificate** by IEV — not direct shares in the qualifying company.

1.5 As per the Section 12J rules, the investment was subject to a **5-year restriction period**, after which the investment should become accessible to me, subject to performance and valuation.

2. Conduct Complained Of

2.1 FAILURE TO PROVIDE INFORMATION

2.1.1 My earliest investment (Investor No. S12J IIM 2019/147, Share Certificate D4) reached its **5-year maturity** in approximately 2025.

2.1.2 Since **June 2025** (approximately 9 months ago), I have repeatedly requested the following from IEV:

1. SARS interim statements for all three investments;
2. Investment performance report for the matured investment;
3. Guidance on the withdrawal process post the prescribed lock-in duration.

2.1.3 Despite numerous written follow-ups (18 June 2025, 26 June 2025, 14 July 2025, 12 August 2025, 19 February 2026, and 20 February 2026), I have received only vague assurances that the information is "under review" or "being finalised."

2.1.4 At no point has IEV provided me with:

- Any investment performance figures;
- Any valuation of my investment;
- Any SARS interim statements; or
- Any concrete withdrawal procedure.

2.2 SUSPECTED ENGINEERED LIQUIDATION

2.2.1 IEV has been placed in formal liquidation, with **Marumo Trustees** appointed as liquidator.

2.2.2 I have reason to believe that this liquidation may have been **engineered or orchestrated** to avoid obligations to investors. My basis for this suspicion is:

1. The debts that IEV allegedly could not pay were, to my knowledge, **minor in nature** and disproportionate to the scale of investor funds under management;
2. The underlying investment in The Joseph Company / Muma Investments is reportedly performing well — its Group Chairman, Mr Dandy Matamala, confirmed receipt of the invested funds;
3. Despite the underlying assets performing, IEV claims it cannot meet its obligations;
4. The timing and circumstances of the liquidation raise questions about whether it was a deliberate mechanism to strip investors of their claims.

2.3 STRUCTURAL PREJUDICE TO INVESTORS

2.3.1 The qualifying shares in The Joseph Company are registered in IEV's name, not in the names of individual investors. Investors like myself hold only Investor Certificates.

2.3.2 As a result of IEV's liquidation, my investment is now trapped in the liquidation estate, and I am at risk of being treated as an unsecured creditor rather than the beneficial owner of the underlying investment.

2.3.3 This structural arrangement may constitute a failure by IEV to adequately protect investor interests, in possible contravention of its duties as a financial services provider.

2.4 COMMUNICATION FAILURES

2.4.1 IEV has failed to provide timely, transparent, and accurate communication to investors regarding:

- The financial status of their investments;
- The reasons for and circumstances of the liquidation;
- The implications for investors' funds and Section 12J tax positions.

3. Regulatory and Legal Grounds

3.1 This complaint is lodged under the following legislative and regulatory frameworks:

- **Financial Advisory and Intermediary Services Act, No. 37 of 2002 (FAIS Act)** — IEV, as FSP No. 49377, owed duties of care, skill, and diligence to its clients/ investors;
- **General Code of Conduct for Authorised Financial Services Providers** — requiring honest, fair, and transparent dealing;
- **Section 12J of the Income Tax Act** — the regulatory framework under which IEV operated as an approved VCC;
- **Companies Act, No. 71 of 2008** — duties of directors, reckless trading, and potential mismanagement;
- **The common law** — fiduciary duties owed to investors.

3.2 I respectfully request that the FSCA investigate whether:

1. IEV was properly licensed and compliant;
2. IEV's directors acted in the best interests of investors;
3. The liquidation was engineered to prejudice investors;
4. IEV's failure to provide information constitutes a contravention of the FAIS Act and/ or the General Code of Conduct.

4. Relief Sought

4.1 I respectfully request the FSCA to:

1. **Investigate** the conduct of Impact Empowerment Ventures (Pty) Ltd and its directors;
2. **Determine** whether the liquidation was engineered to the detriment of Section 12J investors;
3. **Intervene** to protect the interests of investors whose funds are trapped in the liquidation estate;
4. **Direct** the liquidator to provide full transparency regarding the status of investor funds and the underlying qualifying investments;
5. **Consider enforcement action** against the responsible parties if misconduct is established;
6. **Advise** on the recourse available to affected investors.

5. Supporting Documentation

The following documents are attached / available upon request:

- ✓ VCC Share Certificates (D4: R690,000 • D34: R740,300 • D86: R745,075) — **Attached**
- ✓ SARS VCC Guide — **Attached**
- ✓ Investor Certificates issued by IEV — **Attached**
- ✓ Last statement received from Impact (June 2025) — **Attached**
- ✓ Email correspondence chain (June 2025 - February 2026) — **Attached**
- ✓ Section 12J investment structure & documents — **Attached**
- ✓ SARS ITA34 (assessment relating to the Section 12J deductions) — **Attached**

6. Declaration

I, **David Modikwe** (ID: 831006 5539 087), hereby declare that the information provided in this complaint is true and correct to the best of my knowledge. I authorise the FSCA to investigate this matter and to contact me for any further information that may be required.

Signature

Date

Place

This complaint may also be lodged via the FSCA online portal at: www.fsca.co.za/Pages/Complaint.aspx